APPRAISAL REPORT

COMMERCIAL OFFICE BUILDING

103 S East Ave
Kermit, TX 79745

CLIENT

Winkler County Hospital District

Lorenzo Serrano

AN *APPRAISAL REPORT OF:*

THE PROPERTY LOCATED AT:
103 S East Ave, Kermit, TX 79745

AS OF:

10/30/2025

PREPARED FOR:

Lorenzo Serrano
Winkler County Hospital District

PREPARED BY:

Deanna Peden
Basin Appraisals, LLC
Odessa, Texas 79765

LETTER OF TRANSMITTAL

BASIN APPRAISALS, LLC
DEANNA PEDEN
3106 San Jose Drive
ODESSA, TEXAS 79765
Phone 432/550-5588 Cell 432/352-2508
Deanna.basinappraisalsllc@gmail.com

11/13/2025

Lorenzo Serrano
103 S East Ave, Kermit, TX 79745

Re: 103 S East Ave |B-3 NE/4 SEC 27 A TRACT 150' X 145.2'

Dear Lorenzo Serrano, Winkler County Hospital District,

As requested, an *Appraisal* has been made on the above referenced property in Kermit, Texas. The value obtained is for the property "As Is". It is not contingent upon any renovations or repairs. The purpose of this appraisal is to give you an estimated Market Value of the Fee Simple Estate of the subject property as of 10/30/2025. A cursory inspection of the subject premises, as well as an analysis of relevant data such as local market trends, pertinent land and whole property sales, if available, and supply/demand demographics has been made. This appraisal has been communicated in a Narrative Summary Appraisal Format.

This appraisal was performed in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were in place at the time this appraisal was prepared. Non-realty items were not included in the value estimate. The estimated Market Value of the Fee Simple Estate, separately, **surface only**, is as follows:

THREE HUNDRED SIXTY EIGHT THOUSAND DOLLARS

($368,000 R)

The value estimate assumes that there is no contamination from any other previous or current property usage.

I have no current or contemplated interest in the Subject Property. The payment of the fee for services rendered herein is not contingent upon a predetermined value of the Subject Property.

Client is urged to have a Title Search done of the property as the deed record referenced in the report has an undivided one-half interest to be sure you are purchasing the entire interest in the property.

I appreciate the opportunity to serve you in the preparation of this appraisal report. If there are any questions regarding this letter, please do not hesitate to contact me.

Sincerely Yours,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

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SUMMARY OF SIGNIFICANT FACTS AND CONCLUSIONS

Effective Date	10/30/2025
Date of Report	11/18/2025
Purpose of Appraisal	To provide an estimation of Market Value "as is".
Subject Property Information	
Location	103 S East Ave, Kermit, TX 79745
Land Size (AC)	0.5
Building Size (SF)	3,524
Effective Age	30
Additional Improvements	Asphalt paved parking lot
Zoning	None (Outside City Limits)
Highest and Best Use	Office
Indicated Property Value via	
Sales Comparison Approach	$368,000
Final Value (Fee Simple Estate)	**$368,000**

EXTRAORDINARY ASSUMPTIONS

An extraordinary assumption is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-4) as "an assumption, directly related to a specific assignment, as of the effective date of the assignment results, which if found to be false, could alter the appraiser's opinions or conclusions. Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

Refer to General Assumptions and Limiting conditions. If any data relied upon is incorrect, the appraiser reserves the right to correct. If the incorrect data skews results, the appraiser reserves the right to revise the appraisal.

Information regarding market transactions were obtained through telephone interviews with market participants and, where possible, verified with grantors and/or grantees. As Texas is a non-disclosure state, public deed records do not typically reveal sales prices; consequently, the appraiser has relied on these verbal confirmations, presuming their accuracy in the absence of provided documentation including MLS or other data site.

HYPOTHETICAL CONDITIONS

A hypothetical condition is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-4) as "a condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

"Public Deed Records for the subject property indicate an undivided 1/2 interest. However, this appraisal is based on the Hypothetical Condition that the subject property is held in Fee Simple (100% ownership). This condition is contrary to what is known by the appraiser to exist on the effective date of the assignment, but is used for the purpose of analysis. The use of this hypothetical condition might result in an assignment result that differs from the actual value of the partial interest held.

QUALIFICATIONS OF DEANNA PEDEN

BASIN APPRAISALS, LLC ODESSA, TX 79765

DESIGNATION

State Certified General Real Estate Appraiser - No. TX-1338135-G

EDUCATION

Institution	Location	Degree	Year
Texas Tech University	Lubbock, TX	Master of Science	1987
Texas Tech University	Lubbock, TX	Bachelor of Science	1984
Champions School of Real Estate & Appraisal Institute	Dallas, Houston, San Antonio, Arlington	N/A	N/A

PROFESSIONAL EXPERIENCE

Role	Organization/Location	Duration
General Appraiser	SK Real Estate Appraisal, Hallmark Appraisals Inc., Basin Commercial Appraisals LLC	2005 – Present
Teacher	Ector County Independent School District, Odessa, TX	1989–1992, 1996–1999, 2002–2004
	Loving Municipal Schools, Loving, New Mexico	1992–1993
	Odessa College, Odessa, TX	1991
	Andrews Independent School District, Andrews, TX	1985–1988
Sales Rep.	3M Baker Graphics, Lubbock, TX	1985
Realtor	Sims and Guess Better Homes and Gardens	1995–1996

PROFESSIONAL ORGANIZATIONS

- Association of Texas Appraisers
- Texas Tech Alumni Association

APPRAISAL COURSES

Course Name	Topic
National USPAP Course & Updates	Appraisal Institute's Course 1410N
Basic Appraisal Principles	Appraisal Institute's Courses 100 & 101GR
Basic Appraisal Procedures	Supporting Adjustments: The Journey from…
Basic Income Capitalization	New Construction Essentials: Luxury Homes
General Market Analysis & Highest & Best Use	Measuring 1-4 Unit Residential Properties with ANSI Z765 Standard
Professional's Guide to URAR	Residential Construction and the Appraiser
General Applications	REO Appraisal: Guidelines and Best Practices
Business Practices & Ethics	Manufactured Housing (Synchronous)
Hotel Appraising New Techniques	Focus on FHA Minimum Property Requirements
Land & Site Valuation	Valuation of Residential Solar
Environmental Pollution & Mold	Appraising Complex and Stigmatized Properties
Mortgage Fraud - Appraiser Risk Management	Texas Supervisor – Trainee Course
Appraising 2–4 Family Properties	
Appraising in a Depressed Market	

REPRESENTATIVE APPRAISER CLIENT LIST

- Appraisal Nation
- Community National Bank
- Integrity Appraisal Management
- Mercury Network
- First Basin
- American Momentum Bank
- Patriot Bank
- Frost Bank
- Tejas Bank
- Numerous Individual Clients

SUBJECT PHOTOS

Subject Front

Subject Right

Subject Rear

Deficiency - Peeling Paint on Facia

Deficiency - Warped / Broken Board on Facia

Deficiency - Rear Window Cracked

Rear Window Condition

Subject Left - Rear View

Entry / Lobby

Front Hallway

Display Room

Front Desk / Reception

Reception Office

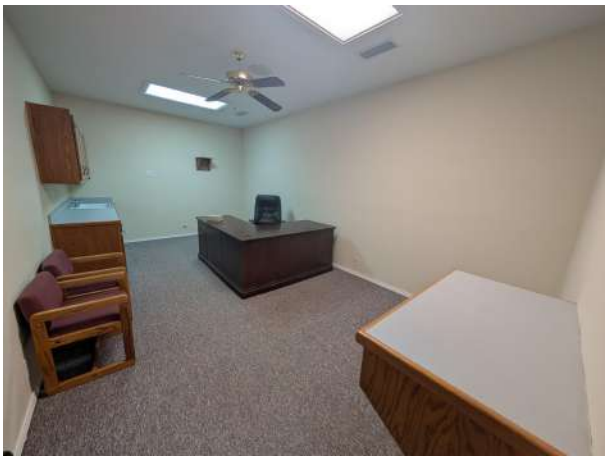
Office / Room 1

Office / Room 1 - Storage & Sink

Front Kitchen / Breakroom

Front Kitchen / Breakroom - Attic Access

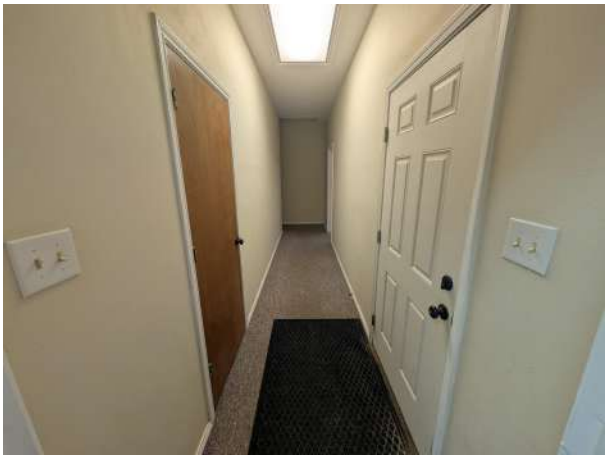
Office / Room 2



Office / Room 3

Hall Bathroom

Office / Room 4



Rear Hallway

Rear Hallway - Storage

Rear Hallway - Storage - Attic Access

Executive Suite

Executive Suite - Bathroom

Rear Kitchen

Rear Kitchen - Alt. View

Rear Kitchen - Bathroom

Rear Kitchen - Storage Closet

Rear Kitchen - Water Heater

DEFINITION OF THE PROBLEM

PROPERTY IDENTIFICATION

Local Address	103 S East Ave, Kermit, Winkler County, TX 79745
Legal Description	B-3 NE/4 SEC 27 A TRACT 150' X 145.2'
APN	1546

PURPOSE OF THE APPRAISAL

The purpose of this report is to provide an estimation of Market Value of the Fee Simple Estate (as defined below by the Office of the Comptroller of the Currency) of the subject property.

DEFINITION OF MARKET VALUE

Regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA).

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure on the open market;
4. Payment is made in terms of cash in United States dollars on in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

EXPOSURE TIME

"'The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort." (Appraisal Standards Board of The Appraisal Foundation, Statement on Appraisal Standards No. 6, "Reasonable Exposure Time in Real Property and Personal Property Market Value Opinions")' *The Dictionary of Real Estate Appraisal*, Fourth Edition p. 105.

The estimate of market value presumes an exposure time of approximately 3 to18 months under today's market conditions. The current average days on market is around 131 days which is approximately 4.4 months. The median days on market is 85 days which is slightly less than 3 months. Subject property has been on the market for slightly over 16 months.

PROPERTY RIGHTS APPRAISED

Fee Simple Estate

DEFINITION OF FEE SIMPLE ESTATE

According to The Dictionary of Real Estate Appraisal, Fourth Edition, published by the American Institute of Real Estate Appraisers, Fee Simple Estate is defined as follows:

"Absolute ownership unencumbered by any other interest or estate, subject only to limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."

INTENDED USER OF THE APPRAISAL

Lorenzo Serrano, Winkler County Hospital District and their assignees. The appraisal has been prepared solely for the use and benefit of the Client and identified intended user(s). No other users are intended or authorized, and no other parties should use or rely on the appraisal or any content in the appraisal for any purpose.

INTENDED USE OF THE APPRAISAL

The purpose of this appraisal is to determine the market value of the subject property for internal decision making for the potential purchase of the property. No contract was provided to the appraiser. The subject property is currently listed for sale in the Odessa Board of Realtors MLS.

SCOPE OF WORK / APPRAISAL PROCESS

The appraisal process is the orderly program wherein data employed in estimating the value of the subject property is acquired, classified, analyzed, and presented. The first step in the appraisal process involves defining the appraisal problem. This step includes the identification of the real estate, the effective date of the value estimate, the identification of the property rights being appraised and the type of value being sought. Data is then collected and analyzed. Relevant factors affecting the value of the subject property, such as area and neighborhood analyses, site and improvement analyses, and the highest and best use analysis are considered in estimating the property's value. (Appraisals are NOT property inspections.)

Generally, three approaches to value are developed and can be utilized when applicable to each assignment; the Cost Approach, the Sales Comparison Approach, and the Income Approach. The final step in the appraisal process is the reconciliation or correlation of the value indications. In the correlation, the relative applicability and defensibility of each approach is considered; and a final estimate of value is reached.

For this appraisal, one approach to value is utilized. The Cost Approach to value is typically used for new construction and properties which don’t have decades of depreciation. Therefore this approach to value is not applicable due to the age of the subject property. The Income Approach to Value is not used as obtaining rental rates for properties similar to the subject is difficult and the information is typically unreliable and scarce for the subject area.

The term "Scope of the Appraisal" refers to the extent of the process of collecting, confirming, and reporting data. As mentioned, the appraiser developing the Sales Comparison Approach will be used for the whole property value. The Sales Comparison is usually the best indication of value for a Fee Simple Estate.

DEFINITIONS AND APPLICABILITY OF EACH APPROACH

The *Cost Approach* is a method in which the value is derived by estimating the reproduction or replacement cost "new" of the improvements. These estimates are based on consultation with a local general contractor and/or the use of the Marshall/Swift Valuation Service. All applicable forms of depreciation and obsolescence are then estimated and deducted from this cost. The estimates for depreciation and obsolescence are based on observed condition, cost to cure analyses, and abstractions from comparable sales data in the *Sales Comparison Approach.* The resulting depreciated value of the improvements is then added to the market value of the land as derived from the Sales Comparison Approach for the land only.

The *Sales Comparison Approach* is typically used to estimate the value of the excess land parcel, as well as, to estimate the value of the whole property, land and improvements. In applying this approach on a land only and a whole basis, actual sales of similar properties are researched and analyzed. The value is then estimated based upon the pattern of prices being paid and received in the market. The reliability of this approach is directly related to the quantity and quality of available data, and when adequate data are available, the result is usually a credible market value indication.

In the *Income Approach,* value is estimated based on future benefits to be derived from ownership of a property. This method utilizes comparable rentals to forecast the maximum obtainable economic rent. From this, an allowance for vacancy and credit loss and all expenses associated with ownership are deducted in order to estimate the net operating income. The resulting net operating income is then processed into an indication of value by employing the appropriate capitalization rate. The overall capitalization rate is market oriented being abstracted from comparable sales data. If the subject is leased, the Subject Contract Rent will also be capitalized and compared to the market rent rate obtained through the Income Approach to Value. According to The Appraisal of Real Estate 12th Edition (Appraisal Institute) in the case of a reduced risk due to the long-term lease typically requiring a higher capitalization rate is not typically utilized. In this analysis, it is deemed the same as the market rent cap rate.

The final step in the appraisal process involves correlating the valuation techniques into an indication of final market value.

SIGNIFICANT APPRAISAL DATES

EFFECTIVE DATE OF THE APPRAISAL

10/30/2025

DATE OF REPORT

11/13/2025

GENERAL ASSUMPTIONS AND LIMITING CONDITIONS

The appraiser has made this report subject to the following general assumptions and limiting conditions.

1. No responsibility is assumed for legal matters or the legal description, including title or encumbrances, that affect the property appraised. Unless otherwise stated, title to the property is assumed to be good and marketable, and the property is further assumed to be free and clear of any or all liens, easements or encumbrances.

2. Competent property management and responsible ownership are assumed.

3. Information furnished by others, upon which all or portions of this report are based, is considered reliable and believed to be true and correct. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can readily be obtained or renewed for any use on which the value estimates contained in this report are based. However, the appraisers give no warranty as to the accuracy of such information.

4. The property areas and dimensions were obtained from sources believed to be reliable. Any maps or sketches may show approximate dimensions and are included only to assist the reader in visualizing the property. The Appraiser(s) have conducted no survey of the property.

5. The assumption is made that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. The appraiser(s) assume no responsibility for such conditions or for arranging for engineering studies that may be required to discover such factors.

6. No Appraiser(s) signing or associated with this report shall be required by reason of this report to appear or give testimony in court, unless specific arrangements have been previously made therefore.

7. The allocation, if any, in this report of the total valuation between components of the property applies only to this report's stated program of utilization. The separate valuations for any components may not be applied

for use in conjunction with any other appraisal and are invalid if so used.

8. The appraised value is predicated on the prevailing financial structure as of the date of this report.

9. Full compliance with all applicable federal, state, and local zoning, use, environmental and similar laws and regulations is assumed, unless otherwise stated.

10. Disclosure of the contents of the appraisal report is governed by the bylaws and regulations of the Appraisal Standards Board.

11. This report has been made only for the purpose stated therein and shall not be used for any other purpose. Neither this report nor any portions thereof (including conclusions as to property value, the identity of the Appraiser(s) signing or associated with this report, or the professional associations or organizations with which they are affiliated) shall be disseminated to any third party without the prior written consent and approval of the Appraiser(s).

12. Deanna Peden and/or contracting appraisal company maximum liability relating to services rendered under this report shall be limited to the charges paid to Deanna Peden and/or contracting appraisal company, Basin Appraisals LLC for the portion of its services or work products giving rise to liability. In no event shall we be liable for consequential, special, incidental, or punitive losses, damages, or expenses even if it has been advised of their possible existence.

13. The client shall indemnify and hold harmless Deanna Peden, Basin Appraisals LLC and/or contracting appraisal company and its personnel from and against any claims, liabilities, costs, and expenses brought against, paid, or incurred by Deanna Peden and/or Basin Appraisals LLC. at any time and in any way arising out of or relating to our services under this report. This provision shall survive the termination of this agreement for any reason.

14. This report may not be included or referred to in any Securities and Exchange Commission filing or other public document.

15. No observations or interpretations on compliance with the American with Disabilities Act are made. We are not experts in this field and realize we are not qualified to make such determinations. Our value estimate is predicated

upon the property owner(s) bearing no cost for compliance. There were ADA designated parking places in front of the Credit Union.

16. On all appraisals subject to satisfactory completion, repairs, or alterations, the appraisal report and value conclusion are contingent upon completion of the improvements in a workmanlike manner.

17. It is assumed that the property or properties conform to all applicable zoning and use regulations and restrictions, unless a nonconformity has been stated, described, defined, and considered in the appraisal report.

18. It is assumed that all required licenses, certificates of occupancy, consents, and other legislative or administrative authority from any local, state, or national, government or private entity or organization have been or can be obtained or renewed for any use on which the opinion of value contained in this report is based.

19. The property is appraised free and clear of any or all liens or encumbrances unless otherwise stated.

20. All engineering is assumed to be correct. Any plot plans and illustrative material in this report are included only to assist the reader in visualizing the property.

21. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless noncompliance is stated, defined, and considered in the appraisal report.

22. It is assumed that utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

23. The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.

24. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its

entirety.

25. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of the appraiser.

26. Unless otherwise stated in this report, we did not observe the existence of hazardous material, which may or may not be present on the property. We have no knowledge of the existence of such materials on, or in, the property; however, we are not qualified to detect such substances. The presence of substances such as asbestos, urea-formaldehyde foam insulation or other potentially hazardous materials may affect the value of the property. The value estimate is based on the assumption that there is no such material on, or in, the property that would cause a loss in value. No responsibility is assumed for any such conditions, or for any expertise or engineering knowledge required to discover them. The client is urged to retain an expert in this field, if desired.

27. The value estimate is based on the assumption that there is no contamination resulting from any drill sites or wells near or on the property if any or other previous property usage. The appraiser is not qualified to make this assessment so you may want to consult an environmental expert in this case if applicable.

GENERAL DATA

MARKET AREA / NEIGHBORHOOD ANALYSIS

According to The Appraisal of Real Estate, 12th Edition, published by the American Institute of Real Estate Appraisers:

> "A neighborhood is a group of complementary land uses, and a district has one predominant land use, whereas the market area within which a subject property competes for the attention of buyers and sellers in the real estate market is the broader term appraisers analyze."
>
> "The term market area refers to an area where market participants live and work. Market area analysis focuses on the four forces – social, economic, governmental, and environmental- that influence value."

The primary goal of the neighborhood analysis is to determine perceivable patterns of growth, structure and change that may detract from or enhance property values. The analysis provides a context in which the property values are estimated.

The property that is the subject of this report is in Winkler County, Texas, which is situated in the heart of the Permian Basin, approximately 46 miles northwest of Odessa. The subject's broader market area is the Permian Basin, which includes the regional hubs of Odessa and Midland and the surrounding energy-focused communities. While Kermit serves as the county seat for Winkler County, its economic activity is heavily linked to this larger regional market. A well-developed transportation system of highways and the railway links the Permian Basin with other major cities and provides critical access for the region's energy sector.

Kermit is situated at the confluence of several key state highways. State Highway 302 is a primary east-west route, connecting the city directly to Odessa and accommodating significant commercial and oilfield traffic. State Highway 18 serves as the major north-south artery, linking Kermit north into New Mexico (serving Eunice and Hobbs) and south to Monahans, where it provides access to Interstate 20. State Highway 115 provides additional connectivity to the southwest to Wink and the Northeast to Andrews. This highway network, along with the Texas-New Mexico Railway, establishes Kermit as a key transportation and service hub for Winkler County and the surrounding energy fields.

Neighborhood Analysis

Boundaries

The subject property is located within the city of Kermit, Winkler County, Texas. For appraisal purposes, the subject neighborhood is best defined by the Kermit city limits and the immediately adjacent commercial and industrial developments. In a smaller, rural community like Kermit, distinct man-made boundaries like major highways are less about delineating different internal neighborhoods and more about defining the entire developed area against the surrounding undeveloped rangeland characteristic of the Permian Basin. The city's primary transportation corridors serve as the functional framework for its commercial and industrial land use patterns.

Kermit is situated where several key state highways intersect that serve as its principal traffic arteries and commercial corridors. State Highway 302 is a major east-west thoroughfare connecting Kermit to Odessa, approximately 46 miles to the southeast. This two-to-four-lane highway accommodates significant regional traffic, including substantial commercial and oilfield-related truck volume. Development along this corridor, particularly on the eastern and western edges of the city, is characterized by highway-support services, including fuel stations, travel centers like the Pilot Travel Center, and newer lodging facilities.

State Highway 18 is the primary north-south artery traversing the city. This two-lane highway provides critical connectivity, extending north into New Mexico (serving cities like Eunice and Hobbs) and south to Monahans, where it intersects with Interstate 20. Within Kermit, Highway 18 functions as a main street for local traffic and hosts a variety of commercial businesses, including local retail, services, and restaurants. Its condition is typical for a state highway serving a rural community, providing essential access for both residents and regional industrial traffic.

State Highway 115 provides additional connectivity, running northeast and southwest from Kermit as stated above. The collective network of these highways establishes Kermit's role as a transportation and service hub for Winkler County. The land use transitions sharply at the city's periphery from developed residential, commercial, and industrial lots to open land dominated by oil and gas production activities, creating a clear, functional boundary for the neighborhood.

Analysis Overview by Sector

The commercial and economic landscape of the subject neighborhood is

intrinsically linked to its location in the Permian Basin and is heavily influenced by the energy sector. Development is concentrated along its primary highway corridors.

Industrial & Commercial Activity

- **Highway Corridors:** Industrial and commercial activity is primarily concentrated along the main thoroughfares. Oilfield service companies, equipment yards, and light industrial facilities leverage the direct access provided by Highways 18 and 302 to serve the surrounding region.
- **Energy Sector Dominance:** The local economy is driven by oil and gas exploration and production, with a growing presence in the wind energy sector. This creates demand for industrial land, service companies, and related commercial uses throughout the area.
- **Rail Access:** The Texas-New Mexico Railway serves Kermit, providing an essential mode of transport for bulk goods and industrial materials, further cementing the city's role as a logistical hub for the energy industry in the region.
- **County Seat:** As the county seat for Winkler County, Kermit is home to government offices and the Winkler County Courthouse, which provide a stable base of employment.

Retail & Highway Service Businesses

- **Highway 302:** This corridor features highway-oriented services catering to regional traffic and the trucking industry. This includes the Pilot Travel Center on the west side and other fuel stations and convenience stores on the east side of town.
- **Highway 18:** This route serves as a "Main Street" corridor with more locally-focused retail, including restaurants, auto parts stores, and professional service offices.
- **Community Services:** Key community services are centrally located, such as the Winkler County Memorial Hospital, which serves as a major employer and critical piece of infrastructure for the entire county.

Hospitality (Hotels and Lodging)

- **Eastern Corridor (Hwy 302):** Recent development has included new lodging facilities, such as a Holiday Inn Express, located on the eastern edge of Kermit. These hotels primarily serve business travelers associated with the oil, gas, and wind energy industries.
- **RV Parks:** Reflecting the nature of the energy workforce, numerous RV parks have been developed on the outskirts of the city. These facilities provide essential housing for transient and contract workers, with demand fluctuating in response to energy market cycles.

Recent Developments and Trends

- **Energy-Driven Growth:** The most significant trend in recent years has been new commercial development spurred by activity in the Permian Basin. This includes the construction of new hotels, truck stops, and RV parks, primarily along the highway corridors on the city's periphery.
- **Economic Cyclicality:** Development and property values in Kermit are subject to the boom-and-bust cycles of the oil and gas industry. Periods of high oil prices lead to rapid growth and increased demand for all property types, while downturns can lead to market stagnation.
- **Stable Employers:** Despite the economic volatility of the energy sector, major employers like the Kermit Independent School District and the Winkler County Hospital District provide a consistent and stabilizing economic influence on the community.
- **Infrastructure:** While no major highway reconstruction projects are currently active within the city limits, the ongoing maintenance and importance of Highways 18 and 302 are critical to the area's economic health.

Market Area

While Kermit functions as an essential service hub for Winkler County, the broader regional market area, often called the "Petroplex," is anchored by the larger cities of Midland and Odessa. These cities, located approximately 46 miles to the southeast, contain the region's major employment centers, medical facilities, retail shopping, and cultural/entertainment venues (such as the Wagner Noël Performing Arts Center and Security Bank Ballpark). Residents of Kermit and the surrounding area rely on this metropolitan hub for major goods and services not available locally.

Demographics & Economics

This section provides a quantitative overview of the subject neighborhood's demographic and economic characteristics, based on the most recent publicly available data.

Key Demographic & Economic Statistics

Metric	Current Data (2023-2024)	Source
Population	**5,681** (2023 Est.)	Data USA
Median Household Income	**$90,181**	Data USA
Median Age	**36.5 years**	Data USA

Median Property Value	**$119,300**	Data USA
Poverty Rate	**12.1%**	Census Reporter
Hispanic Population	**74.0%**	Census Reporter

Sources: Data USA (datausa.io) and Census Reporter (censusreporter.org), primarily utilizing U.S. Census Bureau ACS 2023 5-year estimates.

Analysis of Current Data

The most recent data reveals several significant trends vital to understanding the subject neighborhood's economy.

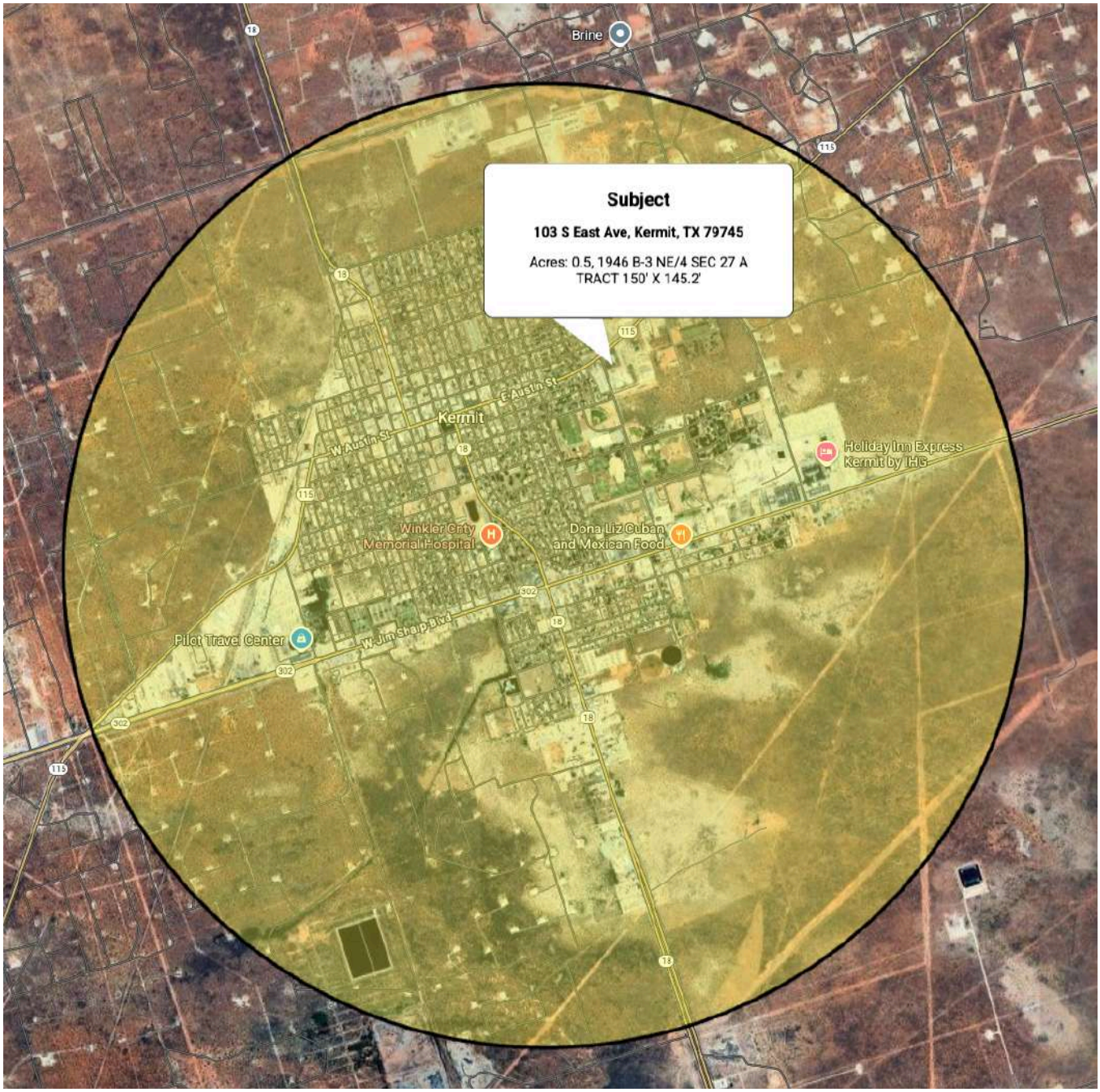
1. **Explosive Income and Property Value Growth:** The local economy has experienced a significant boom in recent years. Median household income has risen to **$90,181**, and the median property value has reached **$119,300**. This substantial growth is a direct reflection of heightened economic activity from the energy sector, which has driven wages and housing demand significantly upward since the 2019-2020 timeframe.
2. **Improving Economic Health:** The poverty rate has seen a notable decline to **12.1%**. This improvement aligns with the significant rise in median income and indicates a stronger local employment market, likely tied to high-paying jobs in the energy and industrial service sectors.
3. **Population and Age:** The 2023 population estimate is **5,681**. The median age in the community is **36.5 years**, suggesting a maturing demographic.
4. **Ethnic Composition:** The area's demographic profile is predominantly Hispanic, comprising **74.0%** of the total population.

In summary, the current demographic and economic data paints a picture of a community undergoing a significant economic expansion. The increases in income and property values, coupled with a declining poverty rate, point to a robust, albeit cyclical, economy heavily influenced by the surrounding energy sector.

Analysis Summary

In summary, the subject neighborhood of Kermit is a well-defined service and residential hub for Winkler County. Its land use patterns and economic vitality are dictated by the energy sector and its excellent connectivity via State Highways 18, 302, and 115. Commercial and industrial development is concentrated along these transportation arteries, while the city's core remains primarily residential. Recent trends show growth in highway-support services and lodging, reflecting the demands of the regional energy economy.

NEIGHBORHOOD MAP



SUBJECT PROPERTY ANALYSIS

SITE ANALYSIS

Location

103 S East Ave, Kermit, Winkler County, TX 79745

Size and Configuration

The subject is a rectangular shaped tract of land approximately containing about 0.5 acres (~21,780 SF) of improved land. Primary access to the property is provided by S East Ave.

Topography/Drainage

The topography of the property appears to be basically level; however, there appears to be enough slope to allow for adequate water drainage.

Soil and Subsoil Conditions

The appraiser was not provided with a soil or subsoil survey; however, it is assumed that the soil and subsoil conditions are typical of the West Texas Area and will not require excess footings and/or foundations. The appraiser, however, is not qualified to detect any defective condition, so the client is urged to retain an expert in the field if desired.

Zoning

The subject property is located outside the city limits of Kermit, Texas, in Winkler County. As such, it is not assigned a specific municipal zoning classification. The property does have city water and sewer, which indicates that while it is not subject to city use restrictions, it may be subject to other city ordinances, primarily related to platting and development standards. The surrounding area represents a transition in land use. The neighborhood immediately to the west of the subject, across S East Ave, consists of a developed grid of mixed residential and commercial properties. To the north, along E State Highway 115, the land use is primarily commercial. In contrast, the area where the subject is located and the properties extending to the east and south are characterized by larger parcels with uses consistent with light industrial, storage facilities, or undeveloped land. Therefore, the subject is situated on the eastern fringe of the established town, bordering a less-developed, non-residential area.

Property Taxes

The subject property is located in Kermit, Winkler County, Texas and is taxed based on values established by the county tax assessors. The tax rates are applied to the assessed value of the subject property, and the taxes for the subject property are then estimated. The taxes are estimated per $100 of assessed value. This property is subject to taxes for the KERMIT ISD, WINKLER COUNTY, FC & LR (COUNTY WIDE), Winkler County Appraisal District, HOSPITAL DISTRICT. The 2024 combined tax rate for these authorities is $1.49. The 2024 taxes were $3,487.39 with an evaluation by the Winkler County Appraisal District of $200,950.00 net assessed value for each parcel as noted in the

Property Identification section above.

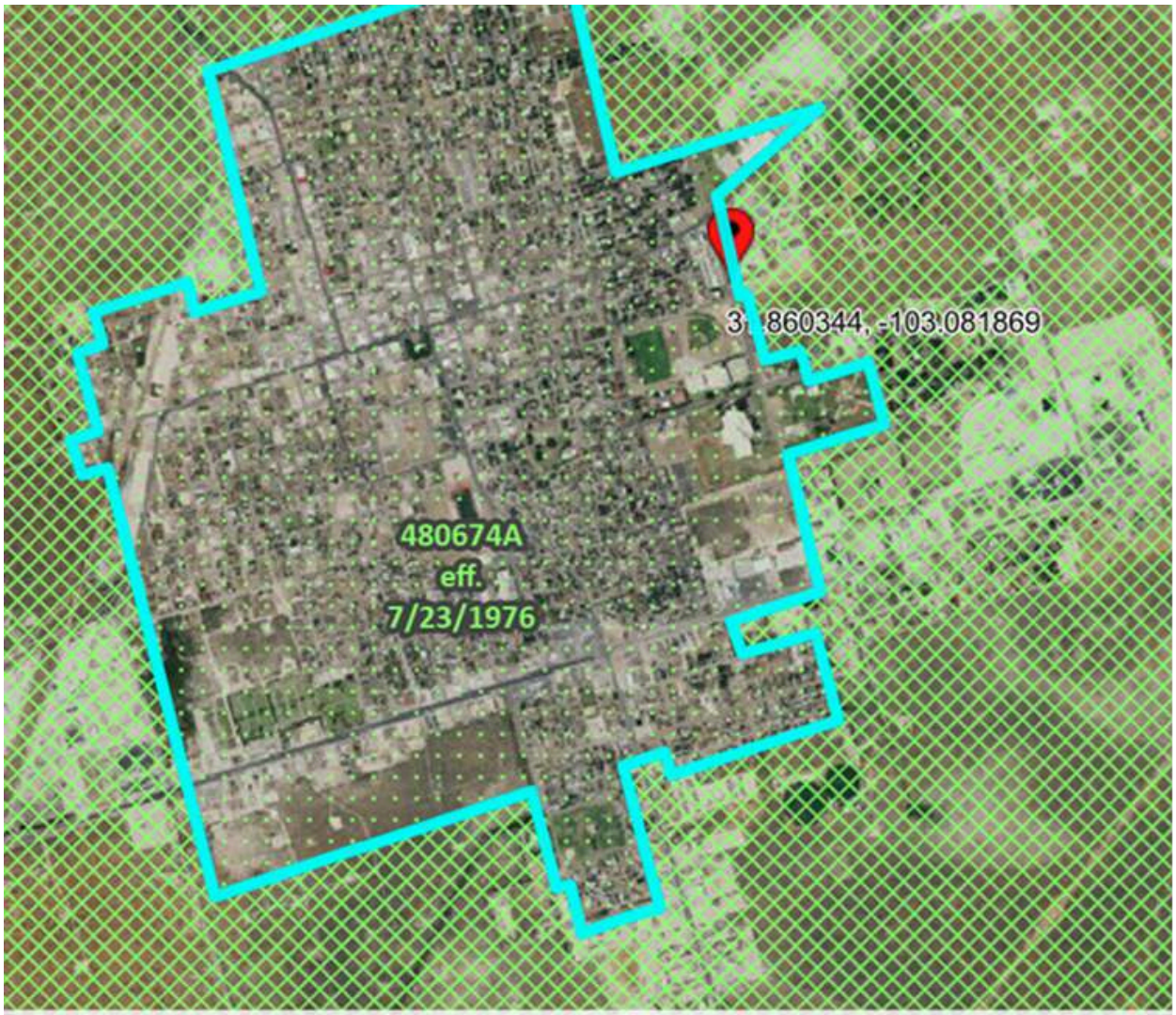
The subject displays a combined assessment of $200,950. With the appraised value on the effective date of $368,000 the taxes of the market value would be approximately $6,386.47.

Note: 2024 tax rates and assessed value are used due to 2025 tax rates and final taxes not published.

Flood Plain

Upon checking the FEMA website, the subject area has not been mapped. A previous map that included the city of Kermit was mapped in 1976 which showed that none of Kermit was in a designated flood zone. The client is urged to retain an expert in the field if necessary.

Flood Map



USDA, USGS The National Map: Orthoimagery. Data refreshed June, 2024.

PIN
- Approximate location based on user input and does not represent an authoritative property location

MAP PANELS
- Selected FloodMap Boundary
- Digital Data Available
- No Digital Data Available
- Unmapped

OTHER AREAS
- NO SCREEN Area of Minimal Flood Hazard Zone X
- Effective LOMRs
- Area of Undetermined Flood Hazard Zone D
- Otherwise Protected Area
- Coastal Barrier Resource System Area

SPECIAL FLOOD HAZARD AREAS
- Without Base Flood Elevation (BFE) Zone A, V, A99
- With BFE or Depth
- Regulatory Floodway Zone AE, AO, AH, VE, AR

OTHER AREAS OF FLOOD HAZARD
- 0.2% Annual Chance Flood Hazard, Areas of 1% annual chance flood with average depth less than one foot or with drainage areas of less than one square mile Zone X
- Future Conditions 1% Annual Chance Flood Hazard Zone X
- Area with Reduced Flood Risk due to Levee. See Notes. Zone X
- Area with Flood Risk due to Levee Zone D

Utilities and Public Services

Utilities/Services	Provided By
Electricity	Oncor
Natural Gas	West Texas Gas Inc.
Telephone/Internet	Optimum, AT&T, EarthLink, T-Mobile 5G Home Internet, Viasat, HughesNet, Starlink, Dell Telephone Cooperative
Police Protection	City of Kermit and Volunteer Fire Department
Fire Protection	Winkler County Sheriff's Department
Water and Sewer	City Water and Sewer

Easements and Encroachments

Upon inspection of the property and records affecting such, there appear to be no easements or encroachments that would affect the subject property in a negative manner.

Subject Property Development

The subject property consists of a single parcel improved with one commercial building, offering a total of 3,524 square feet of space. The structure was built in 1985, giving the improvements a chronological age of 40 years. The building area is composed entirely of office space (3,524 SF) and features a brick veneer exterior. Site improvements consist of an asphalt paved parking lot. The effective age of these improvements is 30.0 years, and their overall physical condition is considered average. The surrounding streets are paved with asphalt.

IMPROVEMENT ANALYSIS

Improvement Characteristics

Property Type	Commercial
Property Subtype	Office
Occupancy	Single Owner
Number of Buildings	1
Number of Stories	1
Construction Class	C
Construction Quality	Good
Gross Building Area (GBA)	3,524 SF

Ratios & Parking

Land / Bld Ratio	6.18

Age / Life

Year Built	1985
Condition	Average
Age	40
Effective Age	30.0
Typical Building Life	60
Remaining Economic Life	30

Structural Characteristics

Foundation	Concrete Slab
Roof Type / Material	Composition Shingle
Exterior Walls	Brick Veneer

Mechanical Systems

Electrical	Adequate

Plumbing	Adequate
Heating	Forced Warm Air
Air Conditioning	Central Air Conditioning
Fire Protection/Sprinklers	Smoke Detectors, No Sprinklers

Site Improvements

Site Improvements	Asphalt paved parking lot

Legal, Conforming Status

Legally Permitted Use	Yes
Conforms to Parking	Yes
Conformity Conclusion	In Conformity

OWNERSHIP / SALES HISTORY

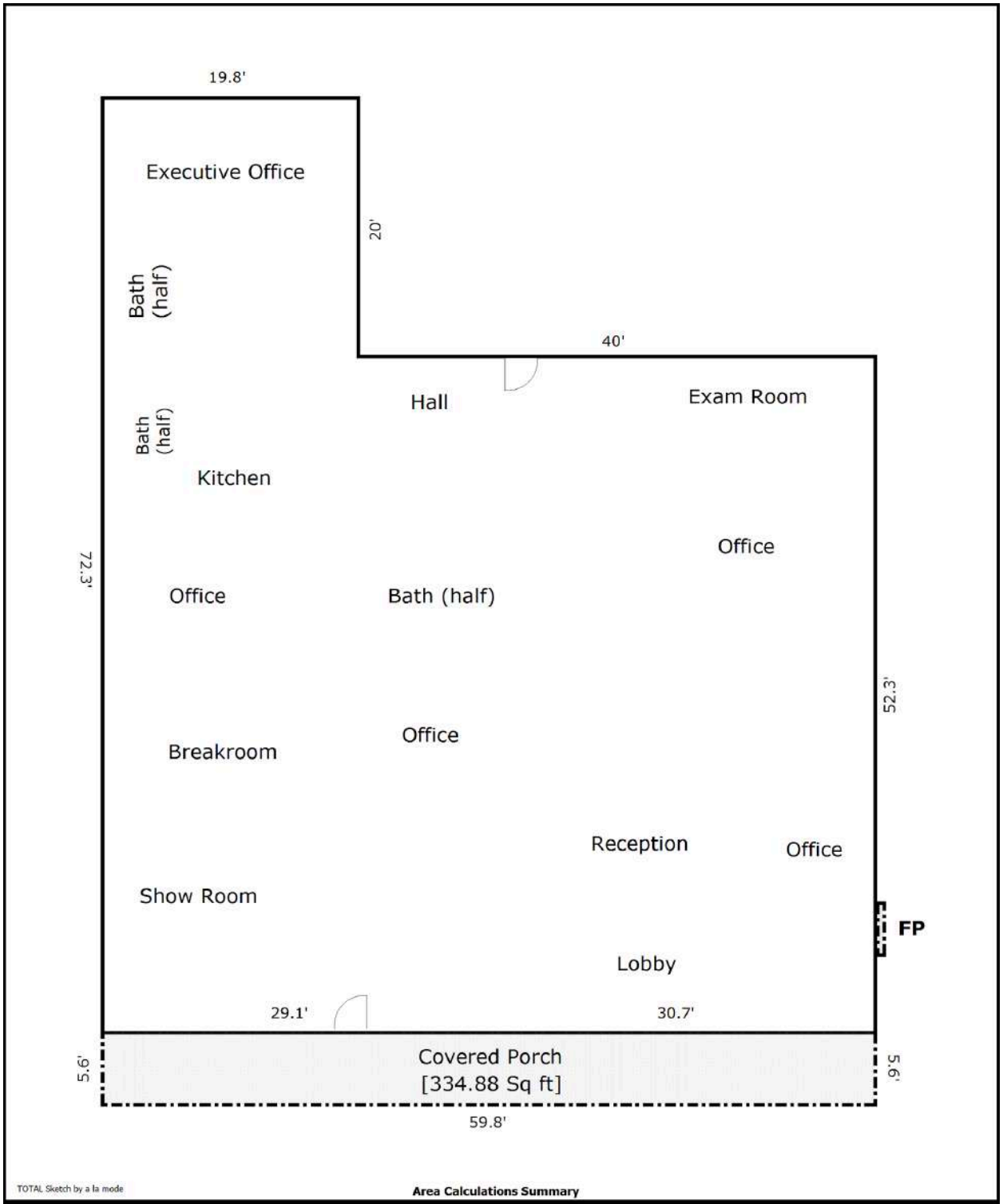
The property was obtained by Wallace Phillips and Teresa Phillips from grantors Charles W. Phillips and Pauline Phillips via a deed dated May 1, 2008. The deed was recorded in the public records of Winkler County, Texas, as Document No. C2372 and conveyed an undivided one-half (1/2) interest in a 0.50 acre tract of land out of the Northeast Quarter (NE/4) of Section 37, Block B-3, PSL.

This ownership history is based on available deed records.

Summary and Conclusion

The subject site demonstrates good accessibility and average exposure. Located on S East Ave, the property is situated outside the formal city limits of Kermit in an area with no specific municipal zoning classification. The property is improved with a single-story, 3,524 SF office building that appears to be in average condition and retains functionality. The site is not located within a FEMA Special Hazard Flood Area. The existing commercial improvements are considered a legally conforming use. The property is located in a transitional area, bordering established residential/commercial properties to the west and less-developed light industrial and vacant land to the east and south. Given its location, asphalt-paved parking lot, and direct street access, the site remains well-suited for continued office or similar commercial utilizations.

BUILDING SKETCHES



Area Calculations Summary

Living Area		Calculation Details	
First Floor	3523.54 Sq ft	19.8 × 20 =	396
		59.8 × 52.3 =	3127.54
Total Living Area (Rounded):	**3524 Sq ft**		
Non-living Area			
FP	2 Sq ft	4 × 0.5 =	2
Covered Porch	334.88 Sq ft	5.6 × 59.8 =	334.88

HIGHEST AND BEST USE / MARKET ANALYSIS

Highest and best use is defined by The Appraisal of Real Estate, 9th Edition, American Institute of Real Estate Appraisers, as:

"The reasonable probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and results in the highest value."

Because the presence of improvements can limit a parcel of land's possible uses, highest and best use is determined separately for the land as vacant and available to be put to its highest and best use, and for the property as improved. The highest and best use of the land as vacant and available for use may be different from the highest and best use of the improved property. This will occur when existing improvements create value in excess of the land alone, but do not add maximum value since the improvements are not the most beneficial use.

Whether vacant or improved, the highest and best use of land must meet the following four criteria:

1) Physically Possible	The uses that can be physically placed on the site.
2) Legally Permissible	The uses that are allowed by zoning and deed restrictions.
3) Financially Feasible	Any possible and permissible use that will produce a net return to the land and the owner.
4) Maximally Productive	The feasible use that will produce the greatest net return or highest present worth to the land.

Site As Vacant

Physically Possible

The subject site contains approximately 0.5 acres or 21,780 square feet located on S East Avenue in the eastern portion of Kermit, Texas, in Winkler County. The site's topography appears to be level, with soil and subsoil conditions adequate for development. Public utilities, including electricity, water, and sewer, are available to the property. The site's size and nearly square shape are sufficient to accommodate a variety of potential uses. Surrounding land uses are mixed, including residential and commercial properties to the west and north, with larger parcels used for light industrial, storage, or remaining as undeveloped land to the east and south. Access to the subject's neighborhood is considered good due to its location on S East Avenue and proximity to E State Highway 115, a primary local traffic artery.

Legally Permissible

The subject property is located outside the city limits of Kermit in Winkler County and is therefore not regulated by a specific municipal zoning ordinance. However, the site does have city water and sewer. This indicates that while the property is not subject to city use restrictions, it may be subject to other city ordinances, primarily related to platting and development standards. The surrounding properties in the immediate vicinity share this characteristic, being located in the county and outside of any formal municipal zoning districts. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal.

Financially Feasible

Although the subject site legally and physically allows for the development of a wide variety of uses, only those which produce income and/or a return ample to satisfy operating expenses, financial obligations, and capital amortization are considered financially feasible. As described in the Neighborhood Analysis section, the subject's defined neighborhood is heavily influenced by the energy sector, and the area contains a mix of commercial, light industrial, and storage developments. Key supply and demand factors in this cyclical economy support development for energy-related services and local commercial uses.

The property's location on S East Ave affords it good accessibility and average exposure. The site is located in a transitional area, bordering established residential/commercial properties to the west and less-developed light industrial

and vacant land to the east and south. Given these factors, the most feasible use would be for commercial, office, or light industrial/storage development. There are several single-tenant and owner-occupied commercial and industrial buildings nearby, and the physical features of the site are suitable for a build-to-suit or owner-occupied building. This would be the most feasible use under current market conditions.

Maximally Productive

Among the financially feasible uses, the use that results in the highest value (the maximally productive use) is the highest and best use. Considering the site's physical attributes, permissive zoning, and market feasibility, the maximally productive use as though vacant is for commercial development.

Highest and Best Use As Though Vacant Conclusion

Based on the analysis of all relevant factors, the conclusion of the highest and best use as though vacant is for commercial development.

Site As Improved - Primary Site

The four criteria previously mentioned must also be met for the site's proposed improvements to be representative of the highest and best use.

The subject property consists of a 3,524 SF commercial facility on 0.5 acres of land. The subject's improvements are not unusual to find in the surrounding area.

The overall value of the building as improved exceeds the value of the property as vacant; therefore, an informed purchaser would leave the existing improvement intact. Based on the information, the physical possibilities of the subject would be for use as a commercial property such as an office utilization such as the current office/warehouse facility.

The use of the land with the improvements, is physically possible and legally permissible based on the office zoning and surrounding developments. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development. The building is situated in such a manner as to provide reasonable on-site traffic flow. Currently there are no other legally permissible uses which would economically justify the demolition of existing improvements and property redevelopment. As a result, the highest and best use for the site as improved is for its existing use as a office utilization as explained above.

SUBJECT PROPERTY VALUATION

VALUATION PROCESS

As previously mentioned, only one approach to value will be used in order to obtain a value estimate for the subject property. The Sales Comparison Approach to value will be used to determine the improvement value. All methodologies are explained below.

COST APPROACH TO VALUE

The Cost Approach is based upon the Principle of Substitution, which states that a rational buyer will pay no more for a property than that amount for which he can obtain a comparable site and construct improvements of equal desirability and utility, assuming no undue delay. This approach to value considers five basic steps.

1. The estimate of land value, as if vacant.
2. The estimate of the current cost of reproducing or replacing the existing improvements.
3. The estimate of accrued depreciation from all causes.
4. Deduct total accrued depreciation from the cost new estimate to arrive at a depreciated value of the improvements.

The final step is the addition of the land value to the contributory value of the improvements in order to arrive at the indicated value of the entire property.

SALES COMPARISON APPROACH

When adequate historical market data pertaining to properties similar to subject is available, the Sales Comparison Approach can be very reliable. The Appraiser must do five things in order to apply this approach:

1. Obtain market information on sales transactions, listings, and offerings to purchase properties similar to the subject property.
2. Verify the data obtained to assure its correctness and acquire the terms of sale to see that they reflect an arm's length transaction.
3. Analyze each of the comparable properties' important characteristics with the corresponding ones of the subject property in order to derive the appropriate elements of comparison (e.g., time, location, and other characteristics – physical and economical).

4. Use the elements of comparison abstracted in the previous step in order to distinguish the differences between the subject property and the comparable sale properties and to see their effect on the sales price.

5. Reconcile the value indications produced by the comparison into a single estimate of value or a range of values for the property as a whole.

INCOME APPROACH

The principal assumption of the Income Approach is that there is a definite relationship between a property's value and the income it can produce. This method requires translating net income produced by a property into a value estimate by determining the present value of the anticipated income stream, appropriately discounted for risk, liquidity, and the remaining economic life of the improvements. There are basically four steps to be followed in assembling and processing the data needed in this approach, and they are summarized as follows:

1. Obtain the rent schedules and percentage of occupancy for the Subject Property and for comparables for the current year and several past years. This data is then compared and adjusted to an estimate of effective gross income which the property may be reasonably expected to produce.

2. Obtain expense data such as taxes, insurance and operating costs being paid by the Subject Property and by comparable properties.

3. Estimate the probable duration of the building's income or alternately, estimate the suitable period of ownership before resale.

4. Estimate the net operating income to the property (which is obtained by subtracting the expenses from the effective gross income), and select the appropriate capitalization method, the applicable technique, and appropriate rate for processing this net income.

SALES COMPARISON APPROACH

Several comparable sales have been obtained for comparative purposes with the subject property. The following pages contain the specific information regarding these sales. The following sales are considered the best sales available.

COMPARABLE SALE NO. 1

Property Information	
Address	115 W Austin St Kermit, TX 79745
APN	8552
Legal	E25' X150' 32 KERMIT ORIGINAL OF 13-15 115 W AUSTIN
Type	Retail
Land Size (AC)	0.086
Zoning	CBD, Central Business

Property Improvements	
Bld Size (SF)	2,379
Year Built	1960
Effective Age	65.0
Condition	Fair
Land / Bld	1.57
Construction	Brick
Other Features	
Canopy (221 SF), Street-front building with no on-site parking	

Sale Information	
Sale Price	$155,000
Date of Sale	May 06, 2025
Recording	C45498
Grantor	GARCIA, SUSANA
Grantee	HALEY, ANITA
Sale Price / SF	**$65.15**

Comments

Sale price and date confirmed by MLS. Land size (0.09 AC / 3,750 SF) confirmed from Winkler CAD (25' x 150') and MLS. Building size (2,379 SF) and canopy (221 SF) sourced from CAD. The year built is estimated at 1960 for comparison purposes as the MLS and CAD report a Year Built of '0'.

Verified by MLS/CAD/Deeds (MLS #162074)

COMPARABLE SALE NO. 2

Property Information	
Address	277 W Hwy 302 Kermit, TX 79745
APN	6538
Legal	E 29' of Lot 41, Lot 40, Lot 39 & W' 82 of Lot 38, Block B of Brown Altman addition...
Type	Office/ Warehouse
Land Size (AC)	1.47
Zoning	L-1, Light Industrial

Property Improvements	
Bld Size (SF)	2,520
Year Built	1960
Effective Age	65.0
Condition	Average
Land / Bld	25.41
Construction	Brick, Concrete, Metal Construction

Other Features

Large shop with capacity for 2 eighteen-wheelers, Covered parking (10 spaces), Canopy (576 SF), Highway frontage

Sale Information	
Sale Price	$365,000
Date of Sale	Mar 18, 2024
Recording	C42274
Grantor	Elco Valdez
Grantee	Sandy Tracks Investments LLC
Sale Price / SF	**$144.84**

Comments

Sale price and date confirmed by MLS. Main building size (2,520 SF) from CAD and 576 SF of canopy. Land size (1.47 AC) is listed on CAD and listed as ~2 AC on MLS. Per Realtor, the MLS land size recorded originally included extra land but that extra was not part of the final sale and the CAD size is accurate. Property address is listed as 275 W Hwy 302 on MLS but as 277 W Hwy 302 by Winkler CAD; sale confirmed by deed.

Verified by MLS/CAD/Deeds (Realtor Daisy Porras, MLS #147171)

COMPARABLE SALE NO. 3

Property Information	
Address	422 N Pine Ave Kermit, TX 79745
APN	7800
Legal	All of Lots Nineteen (19) and Twenty (20), Block Three (3), KERMIT PLAZA ADDITION...
Type	Retail
Land Size (AC)	0.287
Zoning	C-2, Regional Commercial

Property Improvements	
Bld Size (SF)	1,590
Year Built	2004
Effective Age	21.0
Condition	Fair
Land / Bld	7.86
Construction	Stucco, Concrete Block
Other Features	
Open retail area, High-visibility corner lot	

Sale Information	
Sale Price	$135,000
Date of Sale	Apr 24, 2024
Recording	C42501
Grantor	Nasan Ballrooms, LLC
Grantee	Bosque Enterprises Inc. dba Bosque Energy
Sale Price / SF	**$84.91**

Comments

Sale price and date confirmed by MLS. Building size (1,590 SF) confirmed by CAD. Land size (0.287 AC / 12,500 SF) sourced from CAD (100' x 125'); MLS reported 0.25 AC. CAD file confirms new ownership from sale but appears to pre-date reassessment, as 2024 improvement value is low.

Verified by MLS/CAD/Deeds (MLS #148641)

COMPARABLE SALE NO. 4

Property Information	
Address	501 N Pine St Kermit, TX 79745
APN	7978
Legal	1,2 & 18 KERMIT PLAZA S5'-3 501 N PINE
Type	Office/ Warehouse
Land Size (AC)	0.436
Zoning	L-1, Light Industrial

Property Improvements	
Bld Size (SF)	6,600
Year Built	1960, 2020
Effective Age	37.7
Condition	Good
Land / Bld	2.88
Construction	Metal
Other Features	
Large retail/merchandise area, Multiple private offices, Reception area, Break room, Meeting room	

Sale Information	
Sale Price	$445,000
Date of Sale	May 19, 2023
Recording	C40177
Grantor	PINEMONT PROPERTIES LLC
Grantee	.308 ENERGY SERVICES, LLC
Sale Price / SF	**$67.42**

Comments

Sale price and date confirmed by MLS. Building size (6,600 SF) confirmed by CAD and MLS, includes 3,600 SF warehouse and 3,000 SF office. Land size (0.436 AC / 18,975 SF) sourced from CAD, which consists of two adjacent parcels (135' + 30' of frontage); MLS reported 165' x 115' (0.44 AC). The MLS and CAD report a Year Built of '0'; Warehouse estimated year built at 1960 and the office was built in 2020 and shows like new. Currently listed in OBR MLS (#162275) for $550,000

Verified by MLS/CAD/Deeds (Realtor Duff Michel, MLS #125167)

COMPARABLE SALE NO. 5

Property Information	
Address	2104 W Michigan Ave Midland, TX 79701
APN	R000024779
Legal	Acres: 0.209, BLK: 003, LOT: 014, ADDN: HIGHLAND PARK
Type	Office
Land Size (AC)	0.209
Zoning	O1, Office District

Property Improvements	
Bld Size (SF)	1,932
Year Built	1965
Effective Age	60.0
Condition	Good
Land / Bld	4.71
Construction	Brick

Other Features

4 private offices, Reception and waiting area, Break room, Conference/storage room, Storage building (90 SF), Rear parking lot

Sale Information	
Sale Price	$356,500
Date of Sale	Apr 18, 2025
Recording	2025-9592
Grantor	LINEBACK WILBUR G MD
Grantee	Midland County Hospital District D/B/A Midland Memorial Hospital
Sale Price / SF	**$184.52**

Comments

Sale price and date confirmed by MLS. Total building size (1,932 SF) sourced from Midland CAD, which includes a 1,763 SF main building, and a 169 SF addition. Includes a 90 SF storage building; MLS reported 1,763 "livable" SF but neglected to include the addition in the sold sqft. Land size (0.21 AC / 9,100 SF) confirmed by CAD;

Verified by MLS/CAD/Deeds (MLS #50074616)

COMPARABLE SALE NO. 6

Property Information	
Address	2515 College Ave Snyder, TX 79549
APN	17142
Legal	L8 & N4' L9 B11 SNYDER ORIGINAL TOWN
Type	Office
Land Size (AC)	0.117
Zoning	C2, Commercial

Property Improvements	
Bld Size (SF)	3,316
Year Built	1960
Effective Age	65.0
Condition	Average
Land / Bld	1.54
Construction	Brick
Other Features	

5 private offices, Kitchen, 2 storage rooms, Studio apartment in rear, Located across from the Scurry County Courthouse

Sale Information	
Sale Price	$247,000
Date of Sale	Feb 29, 2024
Recording	2024-001391
Grantor	SNYDER 2515 LLC
Grantee	SCURRY COUNTY
Sale Price / SF	**$74.49**

Comments

Sale price and date confirmed by MLS. Building size (3,316 SF) and Land size (0.117 AC / 5,100 SF) confirmed by Scurry CAD and MLS. Sale included a $2,500 seller concession for closing costs. Property includes a studio apartment in the rear.

Verified by MLS/CAD/Deeds (MLS #50056853)

COMPARABLE SALE NO. 7

Property Information	
Address	810 Myer Lane Kermit, TX 79745
APN	8258
Legal	16 & 3 MEMORIAL PARK N11.9'-15 810 MYER LANE
Type	Retail/ Office
Land Size (AC)	0.09
Zoning	C-1, Community Commercial/Mixed Use

Property Improvements	
Bld Size (SF)	1,059
Year Built	2008
Effective Age	17.0
Condition	Average
Land / Bld	3.70
Construction	Cinderblock, Brick Veneer
Other Features	
Rolling steel door, Shared parking agreement with adjoining clinic	

Sale Information	
Sale Price	$195,000
Date of Sale	Apr 21, 2022
Recording	C37498
Grantor	JVHD LLC
Grantee	WINKLER COUNTY HOSPITAL DISTRICT
Sale Price / SF	**$184.14**

Comments

Sale price ($195,000) and Date of Sale (4/21/2022) from appraiser data, confirmed by deed recording. Land size (0.09 AC / 4,059 SF) and Building size (1,059 SF) sourced from Winkler CAD. This property was the subject of a previous appraisal report.

Verified by Appraiser (Appraiser Workfile and Buyer)

COMPARABLE SALE NO. 8

Property Information	
Address	1600 S Burleson McCamey, TX 79752
APN	2900
Legal	RIVER OAKS BLK 1 LOT 1-3 .92 AC TRACT ONLY
Type	Office
Land Size (AC)	0.54
Zoning	None (Inside City Limits)

Property Improvements	
Bld Size (SF)	1,380
Year Built	1985
Effective Age	40.0
Condition	Good
Land / Bld	17.05
Construction	Brick, Concrete
Other Features	

Storage building, RV parking with hookups, Concrete paving (4,184 SF), Commercial porch (20 SF)

Sale Information	
Sale Price	$300,000
Date of Sale	Jan 29, 2025
Recording	198330
Grantor	ENMON INSURANCE
Grantee	MICHAELSON PRODUCING COMPANY
Sale Price / SF	**$217.39**

Comments

Date of Sale (1/29/2025) confirmed by deed. Land size (1.00 AC) and Building size (1,844 SF) sourced from Upton CAD. Sale price and other features from appraiser data.

Verified by Seller (Jerry Enmon)

COMPARABLE SALES SUMMARY CHART

Sale #	1	2	3	4	5	6	7	8	Subj
Address	115 W Austin St Kermit	277 W Hwy 302 Kermit	422 N Pine Ave Kermit	501 N Pine St Kermit	2104 W Michigan Ave Midland	2515 College Ave Snyder	810 Myer Lane Kermit	1600 S Burleson McCamey	103 S East Ave Kermit
Property Rights	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple
Date of Sale	May 2025	Mar 2024	Apr 2024	May 2023	Apr 2025	Feb 2024	Apr 2022	Jan 2025	Current
Building Size (SF)	2,379	2,520	1,590	6,600	1,932	3,316	1,059	1,380	3,524
Land / Bld Ratio	1.57	25.41	7.86	2.88	4.71	1.54	3.70	17.05	6.18
Property Type	Retail	Office/ Warehouse	Retail	Office/ Warehouse	Office	Office	Retail/ Office	Office	Office
Age	65	65	21	38	60	65	17	40	30
Condition	Fair	Average	Fair	Good	Good	Average	Average	Good	Average
Year Built	1960	1960	2004	1960, 2020	1965	1960	2008	1985	1985
Office %	100.0%	42.9%	100.0%	45.5%	100.0%	100.0%	100.0%	100.0%	100.0%
Sale Price / SF	$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39	

Discussion of Improved Sales

The appraiser analyzed various sales throughout Kermit and other nearby cities to find sales comparables for the subject. The sales utilized and summarized in the chart above were the most comparable sales available. The appraiser tried to use mostly Kermit properties in order to account for the nuances of the town. Many market participants have confidential sales information in this non-disclosure state so not all properties are accessible to the appraiser. Several of the sold properties in Kermit were not the same property type as the subject office utilization. Therefore, three comparables were selected from 3 other West Texas towns to find the most similar offices sold.

The sizes of the comparables bracket the subject size. The sales have different effective ages and conditions and varying ages and renovations or updates. These factors will be analyzed to determine necessary adjustments.

Inherent in comparable sales data typically include such factors as property right

conveyed, financing considerations, market condition, and miscellaneous amenities. Miscellaneous amenities include such factors as location, age/condition, building size, parking and building type. Adjusting for variable differences is at best difficult. The following is a list of variables and discussion of each.

Property Rights Conveyed/Conditions of Sale

All the sales were basically arms-length cash to sellers at typical rate transactions. Subject property is owned so the property rights appraised are fee simple, surface only. Property rights sold in the sales listed are all fee simple therefore, no adjustment is necessary for this factor.

Financing Terms/Market Conditions (Time)

All consideration for purchasing each property was either cash or conventional loans which are both considered cash to the seller. Normal trends existed during the time frame of these sales with normal ebb and flow with slight increases and slight decreases. No specific adjustment could be extracted to make adjustments for the older sales up to the most recent sales. Therefore, no adjustment is warranted for this variance.

Location

The locations of these sales are mostly in Kermit with added comparables located in Snyder, Midland, and McCamey. Pairing Sales in Midland to Kermit for Office utilization we see a negative adjustment for location from Midland to Kermit of around 11% based on paired analysis. A reasonable negative 10% location adjustment for this superior location of No. 5 in Midland is reasonable and utilized in the grid. Also utilizing grouped analysis between Snyder and Kermit, we see an 18% positive adjustment. Therefore a rounded 20% positive adjustment is used for location from Snyder to Kermit. Pairing Sale No. 7 in Kermit with the other Kermit sales, we see a minimum of a negative 20% difference that seems to be attributed to the location across from the hospital. The last differing location is the Office in McCamey, also a West Texas smaller town similar to Kermit in many ways. Sale 8 in McCamey was first compared to Sale 7 in Kermit, indicating a -15% difference. This was supported by further analysis comparing McCamey to other small West Texas towns. This is applied in the adjustment chart.

Age/Condition

The condition of the properties does seem to impact these sales prices for the improvements. Many times the age itself does not seem to impact the values as much as the condition of sales due to renovations, remodeling and general replacement of major systems as needed. Utilizing paired sales from the sales in this report and other sales in the appraiser's file, a positive adjustment is indicated for Sale No. 's 1, 3 and 6, the older built or fair condition properties to bring them in line with the subject's newer build and or better condition. A negative adjustment will be utilized for Sale No. 4, 5 and 8 based on age and reported condition. MLS photos indicate the properties may have been more recently renovated than the subject property age and condition. The other sales were deemed to be most similar in the age/condition factor and were not adjusted. This adjustment is considered reasonable and is intended to capture the overall difference in age, condition, and utility. A precise adjustment for each sub-factor could not be extracted from the available data.

Size

As size is analyzed, Real Estate Principles indicate that the smaller the size, the higher the price per unit. Sale No. 6 is a similar enough size to warrant no adjustment. It was one of the main reasons this sale was chosen. Sale No. 4 was the only comparable sale found in Kermit that bracketed the subject size on the large end and also the main reason it was chosen. One other sale was found but was eliminated from the report due to it being torn down after the sale (215 E Austin). The rest of the sales are small enough to warrant a negative adjustment to bring in line with subject size. Using paired and grouped analysis from the appraiser compiled data base, a $0.022 or $2.2 cents per square foot adjustment was applicable for the adjustments both from small to the subject and large to the subject. The dollar amount associated with the square foot differences between the comparables and the subject was then converted to a percentage for each specific comp in order to use in the grid table.

Parking

The subject has a generous amount of parking for an office utilization. Therefore, those properties without a dedicated parking lot are considered inferior to the subject parking. The adjustments made are based on the land to building ratio and the type of surface to these inferior properties. The stand alone office in Midland was considered similar to the subject. Two of the properties have covered parking, therefore are considered superior. Adjustments are made based on various analyses and my interpretation of these.

Property Type

As various property types are compared to the property type of an office, it is apparent that differences exist between them. Grouped and paired analysis were performed to determine the most logical adjustments. The most apparent difference was between the retail space and an office space. The retail sales comparisons indicated that retail spaces typically sell for less than an office use. This is more than likely due to the more extensive interior finish out requirements for an office building. Upon running analysis between the chosen comparables and paired and grouped analysis with sales both those used and not used in the reports from both the Permian Basin MLS sales and the Odessa Board of Realtor MLS sales an adjustment range of anywhere between 14 - 33% was found. Comparing properties within the sales in Kermit even larger percentages were found for some. A positive 30% adjustment was considered the most credible adjustment to bring the retail in line with the office utilizations. This adjustment was applicable to Sale No's. 1 & 3. While there may be differences between the straight office and the office/warehouse (Comps 2 & 4) or office/retail (Comp 7) a reasonable credible adjustment percentage was not found. Therefore, these property types were not adjusted.

Although there are other differences between the sales, an adjustment for each of these lesser significant elements cannot be specifically abstracted. Therefore, only those that have a true impact on value are adjusted. As the significant elements of comparison have been discussed and analyzed, they are shown in the chart below.

SALES ADJUSTMENT CHART

	Subject	1	2	3	4	5	6	7	8
Address	**103 S East Ave**	**115 W Austin St Kermit**	**277 W Hwy 302 Kermit**	**422 N Pine Ave Kermit**	**501 N Pine St Kermit**	**2104 W Michigan Ave Midland**	**2515 College Ave Snyder**	**810 Myer Lane Kermit**	**1600 S Burleson McCamey**
Date of Sale	Current	May 2025	Mar 2024	Apr 2024	May 2023	Apr 2025	Feb 2024	Apr 2022	Jan 2025
Building Size (SF)	3,524	2,379	2,520	1,590	6,600	1,932	3,316	1,059	1,380
Sale Price / SF		$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39

TRANSACTION ADJUSTMENTS

Property Rights	Fee Simple	Similar	Similar	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%	0%	0%
		$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39
Financing Terms		Similar	Similar	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%	0%	0%
		$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39
Conditions of Sale		Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length
		0%	0%	0%	0%	0%	0%	0%	0%
		$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39
Market Conditions	Current	May 2025	Mar 2024	Apr 2024	May 2023	Apr 2025	Feb 2024	Apr 2022	Jan 2025
		0%	0%	0%	0%	0%	0%	0%	0%
		$65.15	$144.84	$84.91	$67.42	$184.52	$74.49	$184.14	$217.39

PROPERTY ADJUSTMENTS

Location	Good	Similar	Similar	Similar	Similar	Superior	Inferior	Superior	Superior
		0%	0%	0%	0%	-10%	20%	-20%	-15%
Age / Condition	30 Average	Inferior	Similar	Inferior	Superior	Superior	Inferior	Similar	Superior
		15%	0%	15%	-15%	-5%	10%	0%	-5%
Building Size (SF)	3,524	2,379	2,520	1,590	6,600	1,932	3,316	1,059	1,380
		-39%	-15%	-50%	100%	-19%	0%	-29%	-22%
Parking	17,840	Inferior	Superior	Inferior	Inferior	Similar	Inferior	Inferior	Superior
		10%	-10%	5%	7%	0%	5%	8%	-10%
Property Type	Office	Retail	Office/ Warehouse	Retail	Office/ Warehouse	Office	Office	Retail/ Office	Office
		30%	0%	30%	0%	0%	0%	0%	0%
Net Property Adjustment		16%	-25%	0%	92%	-34%	35%	-41%	-52%
Adjusted $ / SF		$75.79	$108.27	$84.82	$129.70	$121.82	$100.56	$107.81	$105.01
Adjusted Mean $ / SF									$104.22

A value generally in-line with the mean is well supported. $104.30

Improvement Size (SF)	3,524
Value Indication	$367,553
Concluded Value - Site and Improvements	$368,000

Indicated market values are now charted in an ascending array.

Sale #	Indicated Market Value
1	$75.79
3	$84.82
6	$100.56
8	$105.01
7	$107.81
2	$108.27
5	$121.82
4	$129.70
Mean	$104.22

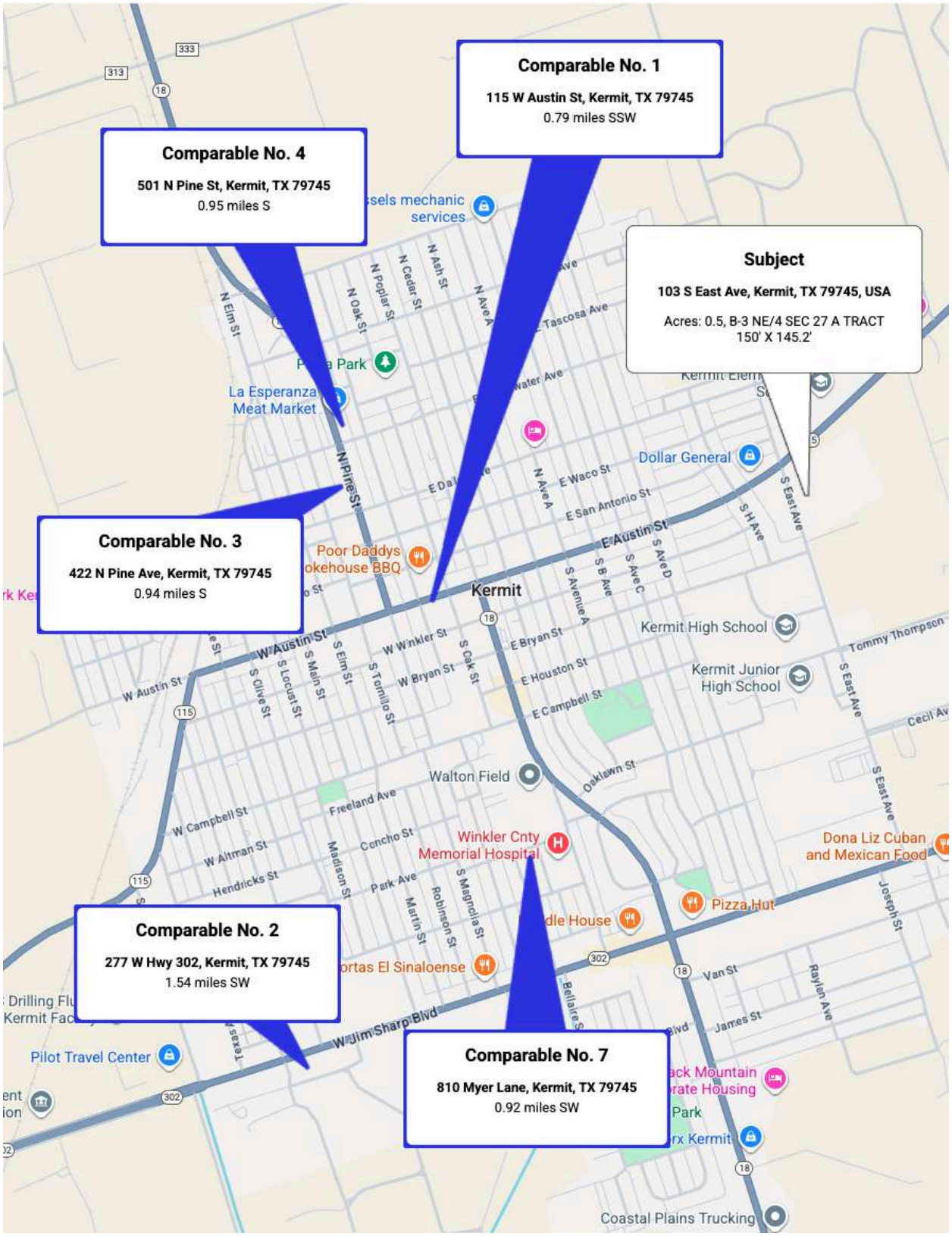
Comparable Sales Adjustments Summary

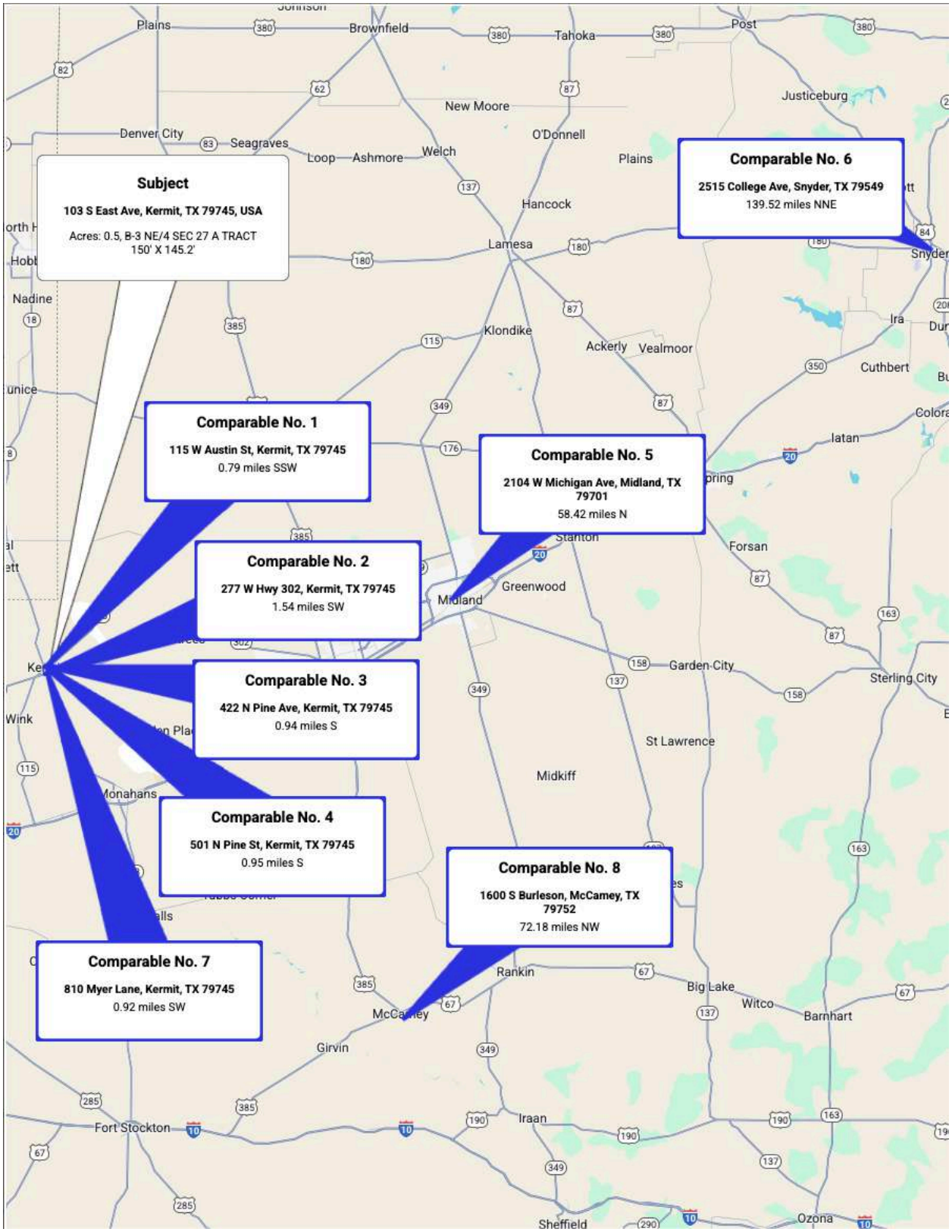
Based on these sales, the indicated range of value for the subject property is $75.79/SF to $129.70/SF. This means the property is valued between $264,844.38 and $457,146.34. The value is generally in-line with the mean and is considered well supported at $104.30/SF or $367,553.20.

Final Value via Sales Comparison Approach:

$368,000 R

COMPARABLE SALES MAP




Subject
103 S East Ave, Kermit, TX 79745, USA
Acres: 0.5, B-3 NE/4 SEC 27 A TRACT 150' X 145.2'
Comparable No. 1
115 W Austin St, Kermit, TX 79745
0.79 miles SSW
Comparable No. 2
277 W Hwy 302, Kermit, TX 79745
1.54 miles SW
Comparable No. 3
422 N Pine Ave, Kermit, TX 79745
0.94 miles S
Comparable No. 4
501 N Pine St, Kermit, TX 79745
0.95 miles S
Comparable No. 5
2104 W Michigan Ave, Midland, TX 79701
58.42 miles N
Comparable No. 6
2515 College Ave, Snyder, TX 79549
139.52 miles NNE
Comparable No. 7
810 Myer Lane, Kermit, TX 79745
0.92 miles SW
Comparable No. 8
1600 S Burleson, McCamey, TX 79752
72.18 miles NW
Plains
Brownfield
Tahoka
Post
Justiceburg
New Moore
O'Donnell
Denver City
Seagraves
Loop
Ashmore
Welch
Plains
Hancock
Lamesa
Snyder
Nadine
Klondike
Ackerly
Vealmoor
Ira
Cuthbert
Colorado
Iatan
Forsan
Stanton
Greenwood
Midland
Garden City
Sterling City
St Lawrence
Midkiff
Wink
Monahans
Rankin
Big Lake
Witco
Barnhart
McCamey
Girvin
Fort Stockton
Iraan
Sheffield
Ozona

RECONCILIATION

RECONCILIATION AND FINAL VALUE ESTIMATE

In appraising the subject property, the Sales Comparison Approach to value was developed and reported.

Valuation Approach	Indicated Value
Sales Comparison	$368,000

The **Sales Comparison Approach** was utilized and is the most significant analysis and most applicable for the subject property. This approach provides the most direct reflection of the market by analyzing the actions of willing buyers and sellers of similar office properties. Since the subject property is owner-occupied, its value is most accurately measured by comparing it to other properties purchased by owner-users, whose primary motivation is utility rather than investment return. Market data was available to develop a reliable and well-supported value conclusion through this method.

The **Cost Approach** was not utilized due to the age of the subject, and lack of recent updates. The subject improvements were built in 1985, making the estimation of depreciation less reliable than it would be for much newer properties. This approach is not a good indicator of the cost to create a property with similar utility due to its age. Additionally, accurately estimating factors like entrepreneurial incentive further limits its reliability as an indicator of value for the subject property.

The **Income Approach** was also not given consideration due to the lack of rental data and the unreliability of rental data in the market area.

After a thorough analysis of all available data, the Sales Comparison Approach is deemed the most reliable indicator of value for the subject property and was the only one completely developed and reported within this report.

Sales Approach			
Indicated Value			$ 368,000.00

Weights			
		Sales	100%
Value Indication	Applying reductions and weights accordingly		$368,000
Concluded Value			**$368,000**

THREE HUNDRED SIXTY EIGHT THOUSAND DOLLARS

($368,000 R)

CERTIFICATION OF VALUE

We certify that, to the best of our knowledge and belief:

The statements of fact contained in this report are true and correct.

The reported analyses, opinions and conclusions are limited only by the reported limiting conditions and assumptions and are my personal, unbiased professional analyses, opinions and conclusions.

We have no present or prospective interest in the property that is the subject of this report and have no personal interest or bias with respect to the parties involved.

Our compensation is not contingent upon the reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.

Our analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice ("USPAP") adopted by the Appraisal Standards Board of the Appraisal Foundation, except that the departure provision of the USPAP shall not apply to federally related transactions.

The use of this report is subject to the requirement of the Appraisal Institute relating to review by its duly authorized representatives.

We have made a cursory personal inspection of the property that is the subject of this report, as well as an exterior inspection of the market comparables listed. The appraiser is not a land, commercial building, or home inspector and this appraisal report is not an inspection, the appraiser only performed a visual observation of accessible areas and the appraisal report cannot be relied upon to disclose conditions and/ or defects in the property.

Doug Lasater (Appraiser Trainee #: TX 1343993 11/30/2026 expiration) provided significant professional assistance to the persons signing or acknowledged by this report. The assistance consisted of measuring, appraisal inspection, data entry, photography, making maps, organizing the work file and other basic assistance.

We currently hold an appropriate state certification allowing the performance of

real estate appraisals in connection with federally related transactions in the state in which the subject property is located.

The “Estimate of Market Value” in the appraisal report is not based in whole or in part upon the race, color, or national origin of the prospective owners or occupants of the properties in the vicinity of the property appraised.

This appraisal assignment was not based on a requested minimum valuation, a specific valuation, or the approval of a loan.

We have not performed appraisal services regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

Sincerely,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

ADDENDA

APPRAISER CERTIFICATION

TALCB

TEXAS APPRAISER LICENSING & CERTIFICATION BOARD

Certified General Real Estate Appraiser

Appraiser: **DEANNA HYSON PEDEN**

License #: **TX 1338135 G** License Expires: **09/30/2026**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Occupations Code, Chapter 1103, authorization is granted to use this title: Certified General Real Estate Appraiser

For additional information or to file a complaint please contact TALCB at www.talcb.texas.gov.

Chelsea Buchholtz
Executive Director

E&O INSURANCE

Accelerant National Insurance Company
(A Stock Company)
400 Northridge Road, Suite 800
Sandy Springs, GA 30350

REAL ESTATE PROFESSIONAL
ERRORS AND OMISSIONS INSURANCE POLICY
DECLARATIONS

NOTICE: THIS IS A "CLAIMS MADE AND REPORTED" POLICY. THIS POLICY REQUIRES THAT A CLAIM BE MADE AGAINST THE INSURED DURING THE POLICY PERIOD AND REPORTED TO THE INSURER, IN WRITING, DURING THE POLICY PERIOD OR EXTENDED REPORTING PERIOD.

DEFENSE COSTS WITHIN LIMITS

THIS POLICY CONTAINS PROVISIONS WHICH LIMIT THE AMOUNT OF CLAIM EXPENSES THE INSURER IS RESPONSIBLE TO PAY IN CONNECTION WITH CLAIMS. CLAIM EXPENSES SHALL BE SUBJECT TO ANY DEDUCTIBLE AMOUNT. THE PAYMENT OF CLAIM EXPENSES WILL REDUCE THE LIMITS OF LIABILITY STATED IN ITEM 4. OF THE DECLARATIONS.

PLEASE READ YOUR POLICY CAREFULLY.

Policy Number: NRE40PL100620-02 **Renewal of:** NRE40PL100620-01

1. **Named Insured:** Basin Appraisals, LLC
2. **Address:** 3106 San Jose Drive
   Odessa, TX 79765
3. **Policy Period:** **From: August 20, 2025** **To: August 20, 2026**
   12:01 A.M. Standard Time at the address of the **Named Insured** as stated in item **2.** Above.
4. **Limit of Liability:**
   A. Each **Claim** Limit of Liability **$ 1,000,000.00**
   B. Policy Aggregate Limit of Liability **$ 1,000,000.00**
5. **Deductible:** **$ 5,000.00** Each **Claim**
6. **Policy Premium:** **$ 823.00**
7. **Retroactive Date: August 20, 2016**
8. **Notice to Company:** Notice of a **Claim** or Potential **Claim** should be sent to:
   OREP Insurance Services: info@orep.org
   6353 El Cajon Blvd, Suite 124-605
   San Diego, CA 92115
9. **Program Administrator:** OREP Insurance Services, LLC – info@orep.org
10. **Forms and Endorsements Attached at Policy Inception:** See Schedule of Forms

If required by state law, this policy will be countersigned by an authorized representative of the Company.

Date: July 22, 2025 By: Isaac Peck
Authorized Representative

N DEC 40002 04 22 Page 1 of 1